MYCAS College of Professional Studies

#123-127, Next to GRS Fantasy Park, Metagalli, Mysore-570016

Title: A Comparative Study on The Portfolios of Top 10 Multi-Asset Allocation Funds in India.

Submitted by:

Manisha Hebbar

Submitted to:

Dr. Ramacharan G

Ms. Harshitha S

Date of Submission:

30th October 2025

CERTIFICATE

I hereby certify that the Live Project entitled, " **A Comparative Study on The Portfolios of Top 10 Multi-Asset Allocation Funds in India**." submitted by Manisha Hebbar in partial fulfilment of the requirements for the award of the degree of B.Com Hons (Financial Management) is her original work carried out under my supervision and guidance during the academic year 2025-26. This project report or any part of it has not been submitted to any other University or Institution for the award of any degree or diploma.

Signature of the Faculty

Signature of the Principal

DECLARATION

I hereby declare that the Live project entitled " **A Comparative Study on The Portfolios of Top 10 Multi-Asset Allocation Funds in India.**" is a record of an original project work carried out by me under the supervision of Ms. Harshitha S, MYCAS College of Professional Studies, Mysuru. I am submitting this Live Project for the award of B.Com Hons (Financial Management). This project has not been submitted in part or full for the award of any other degree, diploma to any other Institution or University.

I further declare that this project does not contain any material copied from other sources except where due acknowledgment has been made.

Place: Mysore

Date: 30th October 2025

Signature of the Student

Manisha Hebbar

ACKNOWLEDGEMENT

I am profoundly grateful to the Almighty for granting me the strength, wisdom, and perseverance to successfully complete this project. It is with His blessings that I was able to undertake this journey with dedication and see it through to completion.

I extend my sincere gratitude to the management for giving me the opportunity to carry out this study and providing the necessary platform to learn and grow. Their support and encouragement have been invaluable in shaping my practical understanding. I am deeply indebted to my guides, Dr. Ramcharan G and Ms. Harshitha S, for their constant guidance, insightful suggestions, and encouragement throughout this project, right from finalizing the title to the successful formation of the report.

I would also like to express my heartfelt thanks to Mr. Srivatsa Hebbar, whose timely help and assistance at crucial stages of the project made a significant difference. His willingness to clarify doubts and extend support whenever needed has been a great source of motivation. Finally, I am thankful to everyone who directly or indirectly contributed to the completion of this work.

Manisha Hebbar

TABLE OF CONTENTS

Title	Page
Introduction	**1**
Company, Industry, Sector Profile / Background of the study	**5**
Research Methodology	**5**
Data Analysis and Interpretation	**6**
Findings and suggestions	**17**
Conclusion	**18**

Chapter- I: Introduction

Mutual funds are investment schemes in which multiple people contribute money. This pooled money is then invested in different avenues, such as equity, debt, commodities, etc. Each person who invests owns "units" of the fund. This was first started in the year 1963 in India with the formation of the Unit Trust of India (UTI) by an act of Parliament, initiated by the Government of India and the Reserve Bank of India (RBI). Post liberalisation, many more private companies came into the picture, starting the growth of the mutual fund industry.

The mutual fund market reached a record size of over Rs. 75.2 trillion in Assets Under Management (AUM) as of September 2025, marking an increase of 12.7% from last year. This shows its rapid growth over several distinct phases, marking the evolution from a state-dominated sector into a vibrant, competitive market regulated by the Securities and Exchange Board of India (SEBI).



The evolution of financial instruments in India has shifted from the traditional Fixed Deposits (FDs) to multiple mutual fund options today. This shows changing investor needs, goals and market development.

There are different types of mutual funds, such as equity funds (which invests primarily in stocks), debt funds (which invests in fixed-income instruments like government and corporate bonds), and hybrid funds (which combine equity and debt).

One such type of fund is a multi-asset allocation fund. This type of fund invests in three different asset classes: equity (stock), debt (bond), and gold/ commodities/ international assets. According to SEBI regulations, these funds must maintain a minimum of 10% allocation in each of these asset classes to ensure proper diversification.

1.1. How are Multi-Asset Allocation Funds different from other types of funds?

Fund Type	Asset Classes	Allocation	Risk Profile	Main Advantage	Sustainability
Multi-asset allocation Fund	Equity, debt & gold/ other	Min. 10% in at least 3 asset classes	Lower-moderate	Diversification, lower volatility	Stability seekers, all market cycles
Equity Fund	Equity only	Min. 65% in stocks	High	Growth potential	Aggressive, long-term
Debt Fund	Debt/ fixed income	100% (or near) in bonds, debt	Low	Stable returns, low volatility	Conservative, income
Hybrid Fund	Equity & debt	40- 80% in either of the 2 asset classes	Moderate	Balanced growth & stability	Moderate risk-takers
Thematic Fund	Equities (1 sector)	100% in one sector/theme	Very high	Focused opportunity, high risk	Expert, sector bullish
Multi-Cap Funds	All equity caps	All market caps, only equities	High	Diverse within equity	Growth, long-term

1.2. Why this study?

This study is chosen because it is both significant and unique. It offers valuable insights for investors, financial professionals, and academics. This is why this study stands out:

a. These funds have surged in popularity in India, particularly in 2024-25. Investors consider this a safer alternative to pure equity exposure, taking into consideration recent market volatility.
b. This fund must be diversified in at least 3 asset classes, making them structurally different from hybrid or balanced funds.
c. Active management allows dynamic rebalancing, meaning that if equity markets become more volatile or risky, allocation can be shifted towards debt or gold, which may outperform during that period.

d. In the past year (2024-25), the equity market has underperformed due to several factors, including geopolitical issues, trade tariffs imposed by the president of the US, Trump, and the already high valuation of Indian markets, which resulted in a lack of buyers. Since gold and the equity markets are inversely related, naturally, gold has performed exceptionally well in this period. Comparing multi-asset allocation funds with benchmarks such as gold, equity markets, debt, and silver ETFs would show us whether multi-asset allocation works.

1.3. What are the top 10 Multi-Asset Allocation funds?

a. Quant Multi Asset Allocation Fund Reg Gr
b. UTI Multi Asset Allocation Fund Reg Gr
c. Nippon India Multi Asset Allocation Fund Gr
d. WhiteOak Capital Multi Asset Allocation Fund Reg Gr
e. DSP Multi Asset Allocation Fund Reg Gr
f. Kotak Multi Asset Allocation Fund Reg Gr
g. ICICI Pru Multi Asset Fund Gr
h. ABSL Multi Asset Allocation Reg Gr
i. Axis Multi Asset Allocation Reg Gr
j. TATA Asset Multi Asset Allocation Reg Gr

1.4. Objectives of this study:

a. To understand how multi-asset allocation funds work.
b. To demonstrate whether this fund type can outperform gold as an individual asset class over the study period.
c. To analyse the annual return (FY 2024-25) of the top 10 multi-asset allocation funds in India
d. To evaluate the top 10 multi-asset allocation funds' performance against equity, debt, and silver ETFs, individually.
e. To compare Multi Asset Allocation Funds (MAAFs) of 3 AMCs (ICICI, ABSL, and HDFC) with other standalone funds namely- equity, debt, gold and silver ETFs managed by them.

1.5. Scope of this study:

This study sheds light on the evolution of mutual funds in India, and the newly popularised fund type that is the multi-asset allocation fund.

It focuses on the top 10 multi-asset allocation funds in India as of September 2025. The basis of comparison consists of the benchmark returns of equity, debt, gold and silver ETFs; the annual return of the multi-asset allocation fund itself.

Chapter- II: Company, Industry, Sector Profile / Background of the study

The mutual fund industry in India has progressed through several phases of growth, shaped by liberalisation, regulatory reforms, and changing investor behaviour. From the early dominance of UTI to today's competitive landscape, mutual funds have become a preferred vehicle for household savings and wealth creation. The rising AUM figures highlight not only growing participation but also the shift from traditional instruments to more diversified products.

In recent years, investor needs have expanded beyond pure equity or debt exposure, creating demand for funds that balance growth with stability. Multi-asset allocation funds have emerged in this context, offering a structured way to diversify across multiple asset classes within a single portfolio. Their increasing acceptance reflects broader trends in financial markets—where uncertainty, global linkages, and market cycles require flexible yet disciplined investment approaches.

Chapter- III: Research Methodology

3.1.Type of data:

Secondary data from fund fact sheets, AMC disclosures, SEBI reports, and other financial portals covering return percentages, portfolio composition, and benchmark returns.

3.2.Time period:

FY 2024-25, with relevant historical data for trend analysis.

3.3.Type of research:

Descriptive and analytical, showing quantitative returns comparison and qualitative review of asset allocation.

3.4.Tools:

Descriptive stats, benchmarking against Nifty, debt indices, gold/silver ETFs, and comparison charts.

3.5.Limitations:

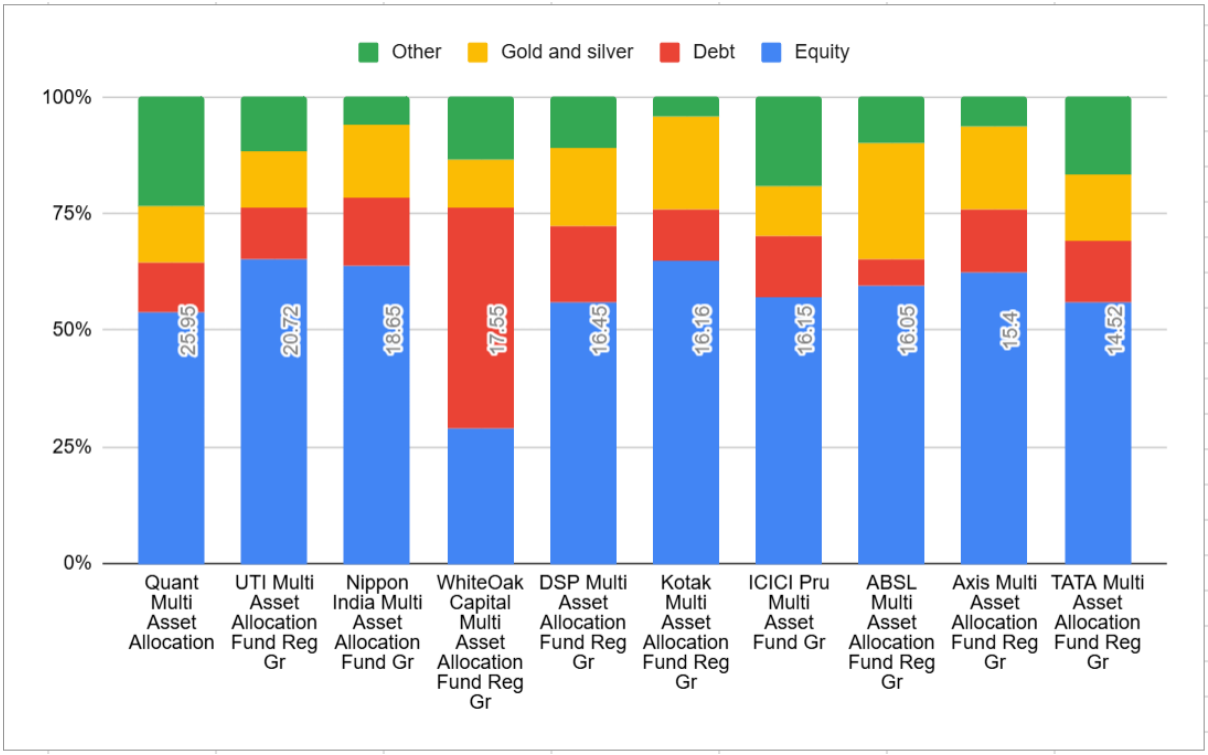
benchmark selection impact, unaccounted investor tax/cash flow factors, and intra-month portfolio changes not captured.

Chapter- IV: Data Analysis and Interpretation

Table.1

Scheme Name	Annual returns					Present Asset Allocation			
	1Y	3Y	5Y	10Y	Since Inception	Equity	Debt	Gold and silver	Other
Quant Multi Asset Allocation	25.95	20.52	25.97	17.52	11.65	53.77	10.8	12.22	23.21
UTI Multi Asset Allocation Fund Reg Gr	20.72	20.03	16.16	10.79	12.87	65.33	10.81	12.16	11.69
Nippon India Multi Asset Allocation Fund Gr	18.65	20.93	18.12	-	17.89	63.88	14.53	15.68	5.9
WhiteOak Capital Multi Asset Allocation Fund Reg Gr	17.55	-	-	-	17.74	28.83	47.45	10.22	13.5
DSP Multi Asset Allocation Fund Reg Gr	16.45	-	-	-	20.89	56.11	16.24	16.83	10.82
Kotak Multi Asset Allocation Fund Reg Gr	16.16	-	-	-	19.55	65.04	10.85	19.95	4.15
ICICI Pru Multi Asset Fund Gr	16.15	20.36	25.09	15.72	20.99	57.07	13.33	10.52	19.08
ABSL Multi Asset Allocation Fund Reg Gr	16.05	-	-	-	17.83	59.44	5.78	24.88	9.9
Axis Multi Asset Allocation Fund Reg Gr	15.4	13.47	13.91	10.83	10.02	62.29	13.79	17.8	6.13
TATA Multi Asset Allocation Fund Reg Gr	14.52	15.57	16.98	-	18.4	56.15	13.13	14.31	16.41

Table.2



Data Analysis:

In Tables 1 and 2, the annual returns and present asset allocation of the top 10 multi-asset allocation funds are shown.

a. Returns:

The highest 1-year return is delivered by Quant Multi Asset Allocation at 25.95%. The returns range from 14%-25%. It shows that the asset allocation and fund management strategies are strongly influenced by recent performance, especially in a year where equity performance is moderate but gold and silver prices have increased rapidly.

3-year and 5-year returns show strong mid-term growth, with Quant, Nippon and ICICI giving consistent above 18% returns.

WhiteOak, DSP, Kotak, ICICI Pru, Nippon and TATA show high Since Inception returns (17-21%) showcasing their ability to generate wealth since launch. ICICI Pru's SI is exceptional (20.99%), showing strong fund management and adaptive investment style according to the market conditions.

b. Asset allocation:

   Most funds maintain equity exposure of 53-65%, taking an advantage from growth opportunities but, with increased risk. Funds at higher equity exposure tend to show good returns like UTI, Kotak and Nippon.

   Debt allocation ranges from 5-47%, showing conservative risk management where bonds act as a safety net for equity's volatility.

   Gold and silver are allocated in a range of 10-24%. In the current scenario, this allocation helped with better performance of these funds. ABSL favoured this asset class the most.

Interpretation:

a. Right diversification provides stability and other advantages: Funds with balanced exposure to equity, debt and gold/silver consistently gave good returns even during turbulent market conditions (2025). Due to diversification into the popular asset classes the fund manages to capture the uptrend cycles of each asset class at different period of time. The diversification along with the best rebalancing strategies would make a fund stand out in performance.
b. Active allocation matters: Fund managers who took a tactical call on increasing the exposure to gold at the right time and right price, generated more returns than the funds that were managed in a balanced way with modest exposure in all the 3 asset classes. A fund that dynamically and actively adjusts the exposure to equity, debt, gold or silver based on changing market dynamics delivers the best returns.

Table.3

Gold ETF						
Scheme name	Year of Inception	Annual Returns %				
		SI	10Y	5Y	3Y	1Y
Nippon India ETF Gold BeEs	2007	15.29	-	17.65	32.08	53.54
UTI Multi Asset Allocation Fund Reg Gr	2008	12.87	10.79	16.16	20.03	8.59

Data Analysis:

Nippon Gold has generated a SI return of approximately 15% while UTI MAA Showed SI and 10-year returns of approximately 13% and 11% respectively. Gold's value and role explain its strong SI returns, while MAAFs offer slightly less but steadier returns over time.

Both performed similarly in a 5-year period. However, in the 3-year period gold outperformed by 12%, showing the upcycle trend in gold prices during this time.

In the 1-year period, gold performed exceptionally well, where Nippon delivered 53.54% return. This was driven by the record-breaking gold bull run in India. It touched an all-time high of Rs. 1,32,920 per 10g on 17th October 2025. UTI MAA showed a return of 8.59%, indicating that gold rise was not fully captured due to its allocation.

Interpretation:

a. Gold ETF outperformed dramatically in recent years: Nippon Gold produced exceptional returns in the last years due to upcycle in gold prices. These returns are better than MAAFs as they are more diversely allocated but have much higher risk due to volatility.
b. MAAFs provide stability: The 1 and 3 year returns of the MAAF show that it has moderate returns but with reduced volatility and limited downside. This fund has performed well in the long run due to strategic allocation but will avoid excessive upside or downside from any single asset class.
c. Where to invest: Investors with a bigger risk appetite, can benefit from gold ETFs during market upside. These who are risk-averse, and value steady growth, and downside protection are better served by MAAFs.

Table.4

1. Pure Equity

Scheme name	Year of Inception	Annual Returns %				
		SI	10Y	5Y	3Y	1Y
Quant Multi Cap Fund	2002	18.33	17.59	22.86	12.14	-2.07
ICICI Pru Multi Asset Allocation Fund	2002	20.99	15.72	25.09	20.36	12.68

Data Analysis:

Over long term, both funds have delivered returns well above 15%, with ICICI's MAAF delivering exceptional SI return of over 20%. The last 10 years saw events such as demonetization, GST implications, IL&FS crisis, The COVID crash and recovery, very strong equity trends during 2020, and high volatility post 2022. These events had huge impacts on equity returns.

During the 5-year period, equity gains nearly doubled due to post pandemic recovery, with the Quant pure equity fund giving 22.86% in returns. ICICI managed to capture the trend and give better return at 25%. However, in the 3-year period, where the market was volatile due to global rate hikes, inflation and geopolitical tensions, Quant pure equity fund gave a return of 12%, while ICICI's MAAF gave 20% return due to its active rebalancing of assets, reducing equity exposure, and increase holdings in gold/silver.

In the 1-year period, Quant gave -2.07% return due to market volatility (because of rupee depreciation and global commodity cycles) but the MAAF delivered 12.68% returns because of reduced exposure to equity and increase in commodities and debt.

Interpretation:

a. Volatility and downside protection: The pure equity fund showcased large dips in returns when market risk increased and even delivered negative returns. The MAAF's diversification allowed the return to remain positive and help investor portfolios even during volatility.
b. Outperformance during bull markets, cushion during bear markets: During bull cycles, both funds performed well. Pure equity funds give better returns during these times, but dip faster during market correction. MAAFs might capture the equity trend, but will also perform well during bearish markets due to asset allocation.

c. Where to invest: Investors with a high risk-tolerance can invest in pure equity, provided that they can time the market properly. Investors who seek stable returns, MAAFs are ideal for them.

Table.5

2. Bond

Scheme name	Year of Inception	Annual Returns %				
		SI	10Y	5Y	3Y	1Y
ABSL Corporate Bond Gr Reg	1997	8.9	7.67	6.35	7.92	7.91
Quant Multi Asset Allocation Fund Gr Reg Plan	2001	11.65	17.52	25.97	20.52	12.75

Data Analysis:

ABSL Corp. Bond Fund delivered stable SI and 10-year returns that beat fixed deposits but lack the equity-level returns. The MAAF achieved better long-term growth by actively capturing market trends and dynamically allocating assets.

In the 5-year period, MAAFs gave returns of 25% that is 4x the returns given by the bond fund at 6.35%. During the 3-year period, MAAF gave a 20% return while the bond fund gave a stable 7.92% return. Over the 1-year period, MAAF returned 20%, and the bond fund maintained a 7.91% return. This shows how well that MAAF rebalances and captures trends, while the corporate bond fund delivered modest, stable returns.

Interpretation:

a. Capital preservation Vs. Growth potential: ABSL Corp. Bond fund is for protection of principal and regular income. Returns are limited, especially during bullish equity or commodity markets. While the Quant MAAF provides superior growth depending on the market cycle.
b. Where to invest: Corporate Bond Fund is for investors who are risk averse and want steady income. MAAFs are for investors who opt for higher risk adjusted returns and for long-term wealth creation.

Table.6

Silver ETF

Scheme name	Year of Inception	Annual Returns %				
		SI	10Y	5Y	3Y	1Y
ICICI Pru Silver ETF	2022	23.68	-	-	34.78	51.51
Baroda BNP Paribas Multi Asset Fund Reg Gr	2022	17.01	-	-	-	9.15

Data Analysis:

Silver ETF have delivered great returns since inception in 2022, with returns at 23%, 34% in a 3-year period and 51.51% in a 1-year period. This shows that it is one of the best performers in the ETF segment as of 2025. It is driven by the silver upcycle trend, the supply shortages and the trend of "safe-haven" buying.

While the MAAF showed a SI return of 17% and only 9% during the 1-year period. This fund, aims for a more defensive approach and did not increase its exposure to the commodity markets.

Interpretation:

a. Risk-return profile: Silver delivered spectacular returns during the recent bull market but also has high volatility. The MAAF gives more steady returns, with little exposure to volatility.
b. Where to invest: Investors who can handle high volatility, are more aggressive and wishes to time the markets properly should invest in silver ETFs. MAAFs are best suited for investors who want a more stable, long-term and risk-adjusted return.

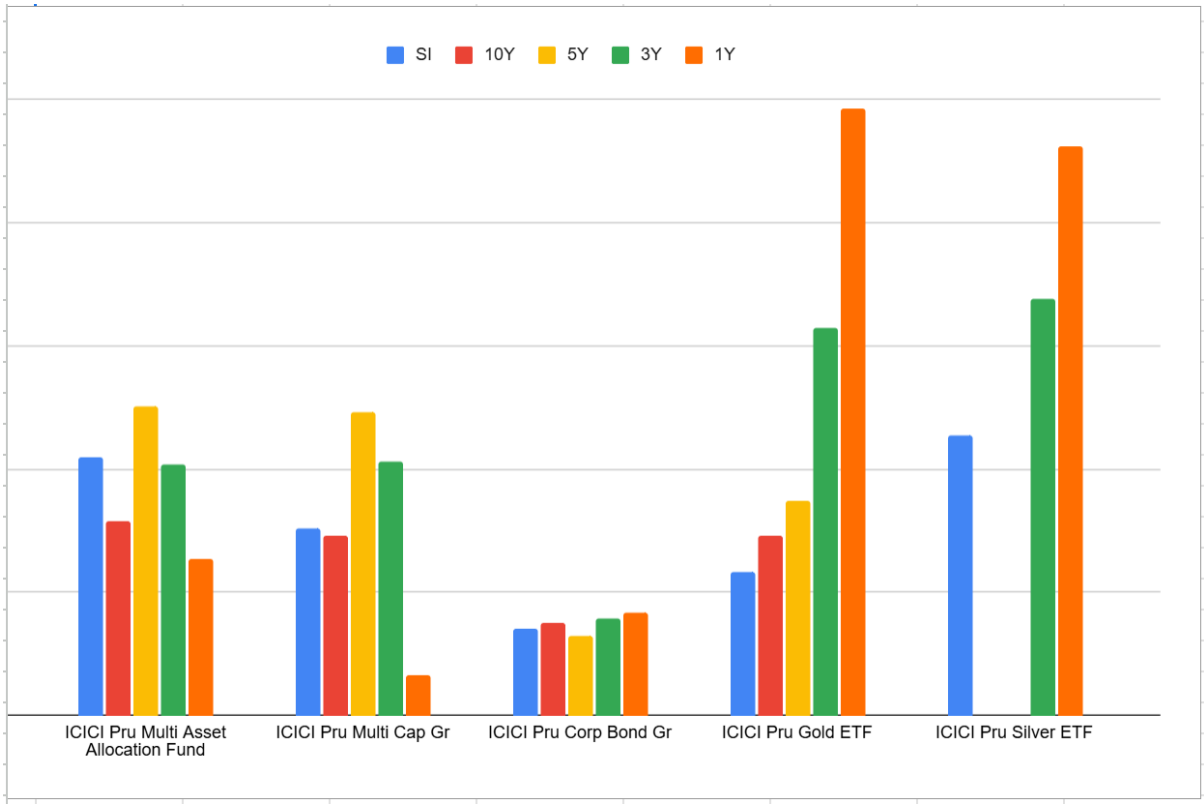
Table.7

AMC Comparision

1. ICICI

Scheme name	Year of Inception	Annual Returns %				
		SI	10Y	5Y	3Y	1Y
ICICI Pru Multi Asset Allocation Fund	2002	20.99	15.72	25.09	20.36	12.68
ICICI Pru Multi Cap Gr	1994	15.17	14.55	24.56	20.56	3.26
ICICI Pru Corp Bond Gr	2009	7.05	7.49	6.44	7.91	8.31
ICICI Pru Gold ETF	2010	11.66	14.55	17.36	31.47	49.27
ICICI Pru Silver ETF	2022	22.77	-	-	33.84	46.15

Table.8



Data Analysis:

The MAAF leads with an SI return of 20.99%, which is higher than equity, bond and gold. But only topped by the silver ETF, because it started in 2022. In the 10-year period, MAAF also outperforms equity, and bond, but matches the gold ETF. This shows consistent growth.

For the 5-year period, the MAAF and the equity fund are nearly equal, both outperforming bond and gold. In the 3-year period, the gold and silver drastically outperformed, due to the recent commodity trend.

The 1-year data show that while MAAF holds steady at 12.68%, it lags behind in comparison to gold and silver. But performs better than equity and bonds.

Interpretation:

a. Diversification advantage Vs. Asset specific trends: The MAAF show stability and strong compounding across major time periods, showing the value of timely rebalancing and diversification. But during the gold and silver boom, the MAAF

delivers moderate returns but will never capture the max upside of a concentrated gold or silver ETF.

b. Risk Vs. Reward: The multi cap and MAAF both offer long-term growth, but MAAF delivers smoother returns. Bonds provide a downside protection, while silver and gold ETF can yield better returns but with a high exposure to volatility.

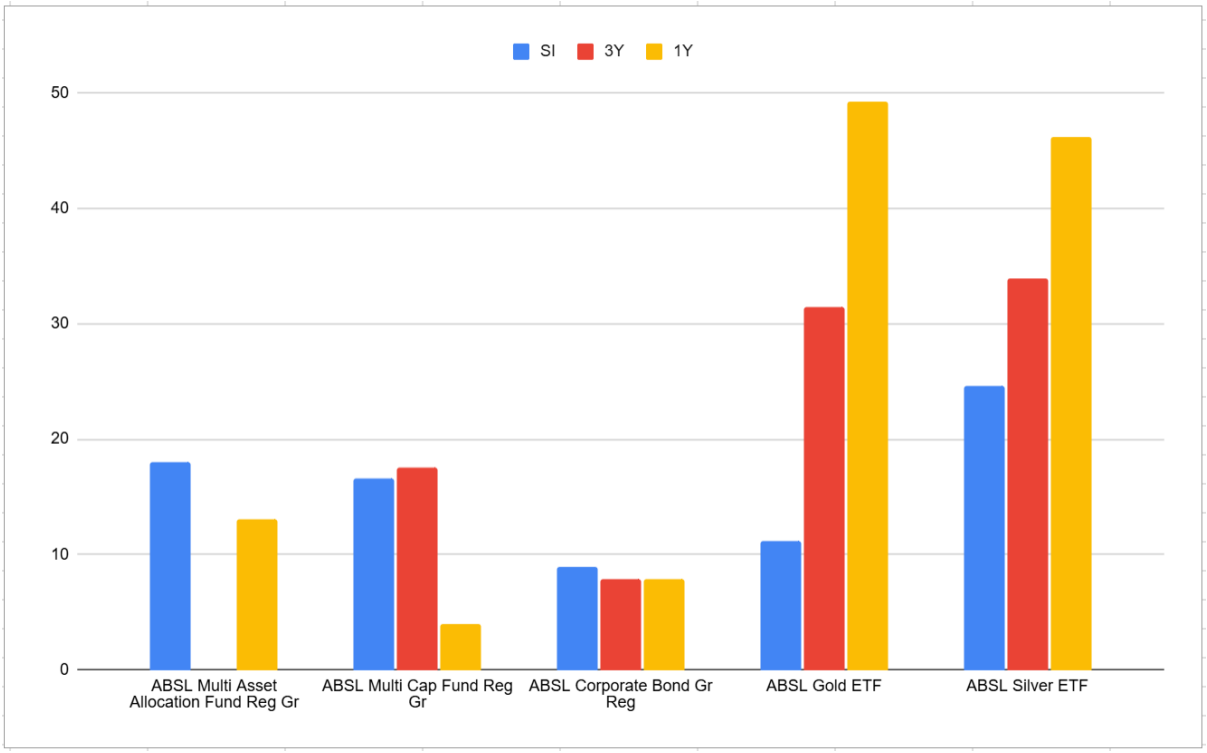
c. AMC Implication: For ICICI AMC, the MAAF stands for balanced long term wealth creation, while its other asset class funds are more specialized with risk-specific goals.

Table.9

2. ABSL

Scheme name	Year of Inception	Annual Returns %				
		SI	10Y	5Y	3Y	1Y
ABSL Multi Asset Allocation Fund Reg Gr	2023	17.97	-	-	-	13.08
ABSL Multi Cap Fund Reg Gr	2021	16.63	-	-	17.54	4.03
ABSL Corporate Bond Gr Reg	1997	8.9	7.67	6.35	7.92	7.91
ABSL Gold ETF	2011	11.22	14.71	17.32	31.41	49.24
ABSL Silver ETF	2022	24.54	-	-	33.85	46.16

Tabel.10



Data Analysis:

ABSL MAAF and multi cap show strong long-term potential, but both are outperformed by silver ETF because of recent upcycles trends. The corp. bond fund gave the lowest return, showing a stable return profile.

For the 3-year period, gold and silver ETF massively outperform other asset classes. The MAAF delivered moderate returns, benefitting from partial exposure to metals but capped by diversification.

In the 1-year period, MAAF performed better than equity and bonds combined delivering moderate and stable returns but could not beat gold and silver ETFs.

Interpretation:

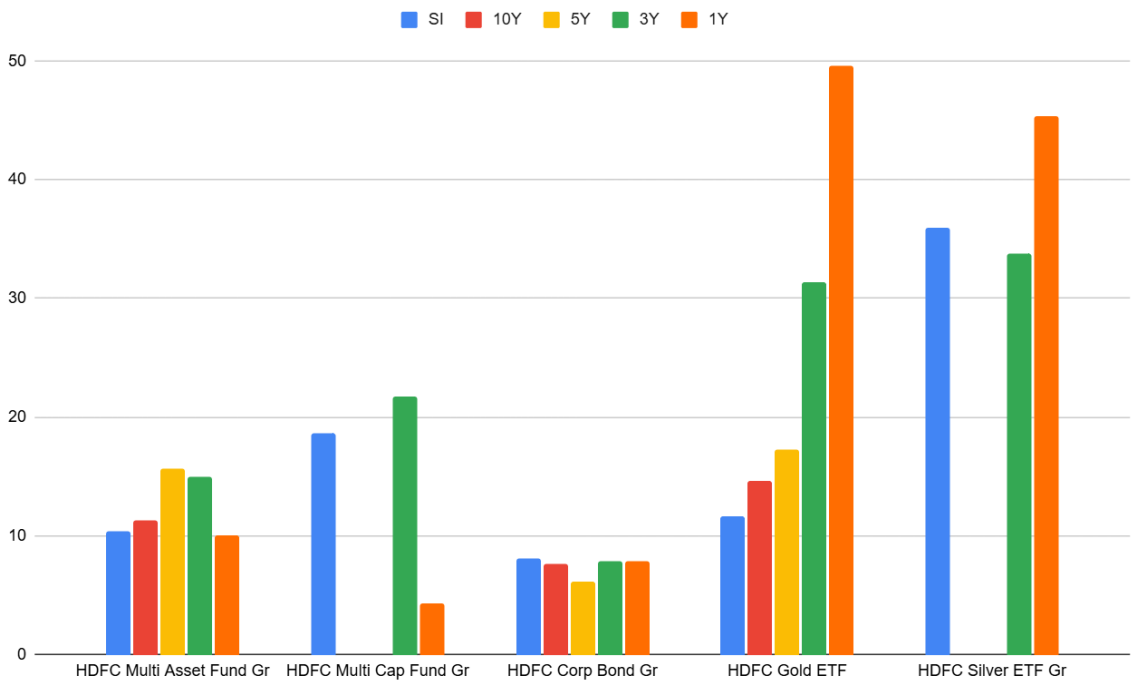
a. Performance resilience and consistency: MAAF provides better long-term returns and achieves better SI and 10Y performance, as it smoothens returns over broader diversification. Gold and silver ETFs delivered better returns during 2024-2025. The graph also shows how MAAFa lower volatility helped avoid dips that single asset funds during negative cycles.
b. AMC Implication: The ABSL MAAF consistently performs well and even provides downside protection. The individual asset classes are for specific risk exposure, with better returns during market trends but also a much higher risk.

Table.11

3. HDFC

Scheme name	Year of Inception	Annual Returns %				
		SI	10Y	5Y	3Y	1Y
HDFC Multi Asset Fund Gr	2005	10.43	11.32	15.62	14.93	10
HDFC Multi Cap Fund Gr	2021	18.6	-	-	21.74	4.29
HDFC Corp Bond Gr	2010	8.14	7.61	6.19	7.92	7.91
HDFC Gold ETF	2010	11.71	14.68	17.26	31.36	49.56
HDFC Silver ETF Gr	2022	35.92	-	-	33.73	45.3

Table.12



Data Analysis:

The MAAFs SI return is much lower than both equity fund and silver ETF, but ahead of corporate bonds. Over the 10-year period, MAA outperform corporate bonds but still underperform gold. This same pattern can be seen in the 3Y and 5Y returns.

For 1-year returns, the MAAF return is far below that of gold and silver ETF but outperform equity and corporate bond.

Interpretation:

a. Complementary choices: the AMCs single asset funds allow for tactical allocation but also has higher volatility and lower average returns.
b. AMC Implication: for HDFC, the MAAF is a core option for investor portfolios as they provide risk management and returns smoothening over time.

Chapter- V: Findings and suggestions

The MAAFs consistently give moderate to high returns (12-21%) smoothening out extreme highs and lows due to their diversified folios. The diversification allows them to capture trends in individual asset classes but will not achieve the extreme outperformance in trends. It also reduced the exposure to risk.

Pure asset funds can outperform MAAFs in specific market cycles. But these come with greater risk.

Funds that dynamically rebalance and change their exposure to capture trends are seen to outperform those following a balanced and defensive approach.

Investors with a high-risk tolerance and ability to time the market perfectly, may benefit more from individual asset classes. They should also be prepared for periods of underperformance or high volatility. But investors seeking a more stable income, or long-term wealth creation are better served by MAAFs.

For most investors, MAAFs should form the base of their portfolio for long-term wealth creation, while pure equity, debt, gold and silver should be used for tactical allocation during market trends.

Suggestions:

a. Portfolio core: use MAAF as the core component in a diversified portfolio. They offer robust performance through market cycles, protect against downside and require less monitoring and rebalancing from the investor.
b. Tactical allocation: allocate smaller portfolio segments to pure assets funds for when strong uptrends are evident. Monitor these trends closely and rebalance periodically.
c. Risk profiling: Conservative investors should prefer MAAFs and high-quality debt funds while aggressive investors should selectively invest in gold, equity or silver recognizing higher volatility and potential for market dips.
d. Review and rebalance: Periodically evaluate all fund holdings. Even strong-performing funds can reverse due to the market conditions. Dynamic rebalancing is key for long-term results.

e. AMC Positioning: AMCs should market MAAFs as an “all-weather” investment. They should highlight their stabilizing effect in dynamic market conditions while also presenting commodity and equity funds as tools for opportunistic returns only when market conditions are favourable.

Chapter- VI: Conclusion

This study shows critical insights into the effectiveness of multi-asset allocation funds in India, focusing on their ability to deliver efficient risk-adjusted returns through strategic diversification. It also highlights the role of gold exposure during periods when equity underperforms, thus showcasing the added value of these kinds of funds.

The comparative data analysis across all tables demonstrates that multi asset allocation funds (MAAFs) deliver robust, consistent performance by leveraging diversification, dynamic asset allocation, and professional fund management. Although they may not always match the peak returns of single asset class funds during strong equity or commodity rallies, their well-balanced approach results in smoother, more stable returns and superior downside protection, especially during periods of high volatility or macro uncertainty.

MAAFs consistently outperform debt, and often beat long-term equity returns, while dramatically reducing overall portfolio risk. The stability they provide makes them ideally suited as a "core holding" for most investors—aligning with both conservative savers seeking capital protection and long-term accumulators looking for steady growth. On the other hand, pure equity and commodity funds can be used tactically to capture short-term opportunities, but they expose portfolios to heavier swings and require active monitoring or precise timing.

Best results are achieved when investors use MAAFs as the foundation of their portfolio and complement them with focused exposure to single-asset funds (like equity, gold, silver, or corporate bonds) according to their risk appetite and prevailing market trends. AMCs should position MAAFs as the all-weather, low maintenance, solution-driven product, while presenting other funds as tactical or satellite allocations for alpha generation when market cycles favour a particular asset class.

In summary: Multi asset allocation funds equip investors with resilience, risk-adjusted growth, and peace of mind through market cycles. Their role as a portfolio stabilizer and

growth engine is clear—making them essential in modern, goal-oriented investment planning.

References:

https://groww.in/blog/how-ilfs-crisis-led-to-panic-indian-economy
https://goldprice.org/gold-price-india.html
https://www.advisorkhoj.com/mutual-funds-research/mutual-fund-annual-returns?category=Equity-Flexi-Cap&scheme_plan_type=Direct
https://www.valueresearchonline.com/funds/40684/tata-multi-asset-allocation-fund-regular-plan/#fund-portfolio
https://www.bajajamc.com/knowledge-centre/understanding-the-benefits-of-multi-asset-allocation-funds
https://www.zerodhafundhouse.com/blog/multi-asset-allocation-funds-a-comprehensive-guide/
https://www.axismf.com/mutual-fund-knowledge-centre/articles/importance-of-multi-asset-allocation-funds
https://www.utimf.com/articles/how-multi-asset-allocation-funds-can-help-you-achieve-financial-goals